

* The study, in its final form, was Lawrence Fisher and James H. Lorie, “Rates of Return on Investments in Common Stock: the Year-by-Year Record, 1926–65,” *The Journal of Business*, vol. XLI, no. 3 (July, 1968), pp. 291–316. For a summary of the study’s wide influence, see [http:// library.dfaus.com/reprints/work_of_art/](http://library.dfaus.com/reprints/work_of_art/).

* See pp. 50–52.

† The “price/earnings ratio” of a stock, or of a market average like the S & P 500-stock index, is a simple tool for taking the market’s temperature. If, for instance, a company earned \$1 per share of net income over the past year, and its stock is selling at \$8.93 per share, its price/earnings ratio would be 8.93; if, however, the stock is selling at \$69.70, then the price/earnings ratio would be 69.7. In general, a price/earnings ratio (or “P/E” ratio) below 10 is considered low, between 10 and 20 is considered moderate, and greater than 20 is considered expensive. (For more on P/E ratios, see p. 168.)

1 If dividends are not included, stocks fell 47.8% in those two years.

1 By the 1840s, these indexes had widened to include a maximum of seven financial stocks and 27 railroad stocks—still an absurdly unrepresentative sample of the rambunctious young American stock market.

2 See Jason Zweig, “New Cause for Caution on Stocks,” *Time*, May 6, 2002, p. 71. As Graham hints on p. 65, even the stock indexes between 1871 and the 1920s suffer from survivorship bias, thanks to the hundreds of automobile, aviation, and radio companies that went bust without a trace. These returns, too, are probably overstated by one to two percentage points.

2 Those cheaper stock prices do not mean, of course, that investors’ expectation of a 7% stock return will be realized.

3 See Jeremy Siegel, *Stocks for the Long Run* (McGraw-Hill, 2002), p. 94, and Robert Arnott and William Bernstein, “The Two Percent Dilution,” working paper, July, 2002.

* See Graham’s “Conclusion” to Chapter 2, p. 56–57.

* Graham’s objection to high-yield bonds is mitigated today by the widespread availability of mutual funds that spread the risk and do the research of owning “junk bonds.” See the commentary on Chapter 6 for more detail.

† † The “New Housing” bonds and “New Community debentures” are no more. New Housing Authority bonds were backed by the U.S. Department of Housing and Urban Development (HUD) and were exempt from income tax, but they have not been issued since 1974. New